Theory of Science and Project Methodology

BA in Business Economics and IT

7th semester, KEA disciplinary Exam 2024E

The End of Rational Economics

Can Behavioral Science and Economics aid in solving debt spirals among young people?

"All models are wrong, but some are useful"

George Box, 1976

"When an economist says the evidence is "mixed", he or she means that theory says one thing and data says the opposite" Richard Thaler, 2017

"We are finally beginning to understand that irrationality is the real invisible hand that drives human decision-making Dan Ariely, 2009

Introduction:

Economists traditionally assume that people make rational choices (Parkin, 2016). This economic paradigm assumes that consumers in general, given their personal preferences and budget constraints, can make rational decisions by considering cost and benefits. Driven by self-control while ignoring emotions and other external factors, they make the decision that is best for themselves (Investopedia, 2018).

Despite these somehow thoughtful behavioral expectations, an increasing segment of young people is building up debt early in their adult lives (National Debtline, 2016). Being a part of the new credit-centric consumer society, they are facing higher living cost, and the temptation of using a myriad of credit cards, online shopping and almost bottomless access to quick flexible payday loans creates a lifestyle that is pushing them towards a spiraling debt trap. And once caught, they may find themselves struggling to pay interest upon interest for years to come (Roberts & Morrow, 2017; Svensson & Carlsson, 2016).

New economic paradigm: Behavioral Economics

To avoid or counter the risk of entering the debt spiral, and start building defenses against foolish decisions, modern behavioral economist like Dan Ariely suggest we start looking at human decisions as motivated by cognitive bias and begin to investigate the forces of irrationality guiding the process. In his article "The End of Rational Economics" (2009), he bluntly states that:
"Behavioral economics can be seen as depressing; after all, many of our experiments show human beings incapable of making good decisions. Multiple findings demonstrate that we are emotional, myopic, and easily confused and distracted".
Ariely, and his behavioral economic peers offer an alternative view, a new paradigm, of how people and organizations interact with the world, and how young people can break free of systematic spending patterns, encouraging vital saving habits so they can move closer towards a debt-free future.

Exam Assignment:

Your assignment is to write a synopsis based on one of the following choices:

1) Use Dan Ariely´s article "The End of Rational Economics" (2009) as a point of reference (app. A)
2) Use your current bachelor thesis.

A synopsis is here understood as the outline of a report without actually answering any problems. This is similar to the introductory parts of any report where you present and justify your perspective, the character of your subject, and method with regards to research design.

Finally provide the reader with an illustration of your research structure.

Procedure: Individual hand-in:

The synopsis is an individual hand-in. If you happen to co-write your bachelor thesis, your synopsis may only share the specific problem formulation, and the illustration of your research design. All content must be individually formulated and presented.

As a prerequisite for the student's oral examination, we recommend that you hand-in an individual synopsis as a prerequisite for the oral examination. We estimate that the synopsis will typically have a scope of 4-5 pages. Deviation from the above assessment will not have consequences but is meant as an aid for you to solve the assignment."

References should be used in accordance with the Harvard Referencing System.

Synopsis structure:

1) Title Page – (title, date, names, supervisors, educational institution)
2) Table of Contents – (remember index for chapters, figures and appendix)
3) Introduction – (scope: aims and objectives)
4) Problem formulation and delimitation
5) Methodology (research design)
6) Overview (diagram) of your research structure
7) Bibliography
8) Appendix

Dates & Information: October 2024

Thursday 3rd	08.00 Access to the exam assignment 2024E
Thursday 3rd. (INT) - Friday 4th. (DK)	Case-presentation and questions
Monday 7th. — Friday 10th.	08.30 – 14.15 Guidance (please, use the booking schedule)
Friday 11th.	10.00 – Deadline for hand in on WISEflow

The Exam:

To pass the course, Theory of Science and Project methodology, you must meet the requirements in a 15-minute individual oral exam, originating in your synopsis. The examination should include a short presentation based on your synopsis. We have no requirements for what tool you should choose for this. PowerPoint, Prezi, pen, and paper – that is up to you.

However, you should consider the length of the exam. With only 15 minutes for the entire exam, you should limit your presentation to a maximum of 2-3 minutes.

Aside from the content of your synopsis the examination will also cover subjects from the curriculum that have not already been dealt with in the synopsis.

Exam dates:

The exam will take place between October, Monday 21st. - Friday 25th. ,2024. Detailed information will be available on Wiseflow in due time.

Evaluation

The student will receive an individual grade for the overall performance covering synopsis, presentation, and individual examination. The evaluation of the performance is based on the degree to which it complies with the purpose and learning objectives of the subjects, as described in the curriculum.

Appendix A: Dan Ariely (2009) - The End of Rational Economics